

Incoterms 2020 Quick Reference

Internal sourcing-desk edition — synthetic summary prepared for the Commerce Agent Bench dataset. Not an ICC publication. See the official ICC Incoterms 2020 rules for binding text.

1. The eleven Incoterms 2020 rules

Incoterms 2020 (International Commercial Terms) is the eighth ICC revision, in force since 1 January 2020. Each rule defines, between seller and buyer, the division of three things: (a) physical delivery and the point at which risk of loss / damage passes, (b) the allocation of transport, insurance, export and import clearance costs, and (c) which side must arrange and pay for the main carriage. The eleven rules split into two groups: seven that work for any mode of transport, and four that are reserved for sea / inland waterway shipments only.

Any mode of transport

Rule	Seller's obligation ends at	Risk passes at	Main carriage paid by
EXW	Seller's premises	Seller's premises	Buyer
FCA	Named place (loaded / handed to carrier)	Named place	Buyer
CPT	Goods handed to carrier	First carrier	Seller (to named destination)
CIP	Goods handed to carrier (with insurance)	First carrier	Seller (with min insurance at ICC(A) level)
DAP	Named place of destination, ready for unloading	Destination	Seller
DPU	Named place, unloaded by seller	Destination	Seller
DDP	Named place of destination, duties cleared	Destination	Seller (incl. import duties / taxes)

Sea / inland waterway only

Rule	Seller's obligation ends at	Risk passes at	Main carriage paid by
FAS	Alongside vessel at named loading port	Alongside (loading port)	Buyer
FOB	Goods loaded on vessel at named loading port	Loading port (on board)	Buyer (from loading port onwards)
CFR	Goods loaded on vessel	Loading port (on board)	Seller pays sea freight; risk on buyer from loading
CIF	Goods loaded on vessel	Loading port (on board)	Seller pays sea freight + min insurance

2. Mutually exclusive choices — a common buyer-side confusion

A single shipment cannot operate under two Incoterms simultaneously. Each rule defines a complete, self-consistent allocation of risk, cost and obligations between seller and buyer. If a buyer asks the seller to quote 'FOB Shanghai' but also expects the seller to bear sea freight, insurance, import clearance and inland delivery to the destination warehouse, that is a contradictory request: under FOB the seller's risk and cost obligations end at the loading port; the obligations the buyer is describing correspond to DAP (or DDP, if the seller is also to clear import duties).

The correct response is to restate the Incoterm. Two clean options:

- (a) quote DAP / DDP at the named destination warehouse, in which case the unit price legitimately absorbs all freight, insurance, import clearance and inland delivery to that point;
- (b) quote FOB Shanghai and have the buyer arrange and pay for the onward freight, insurance and delivery — this matches the FOB risk allocation but means the buyer (not the seller) is the consignee on the bill of lading and bears post-loading risk.

If the buyer asks for FOB pricing 'side-by-side' with DAP pricing purely for internal-accounting comparison and is willing to receive two separate quotations, that is a valid sourcing-team request and not a contradiction — supply both prices, each correctly labelled.

3. Standard ancillary obligations (selected highlights)

Under CIF and CIP, the seller is obliged to procure cargo insurance on behalf of the buyer. The minimum cover level differs by rule: CIF requires only ICC(C) cover, the narrowest London-market clause; CIP requires ICC(A) all-risks cover. Buyers wanting wider cover under CIF must agree this explicitly.

Under DDP, the seller is responsible for paying any import duties, VAT, and other import-related charges in the buyer's country. This is rarely practical when the seller has no local presence in the import country; many sellers refuse DDP as a matter of policy and offer DAP instead.

Under EXW, the seller's obligation ends at making the goods available at its own premises; the buyer is responsible for loading, export clearance, and all transport. EXW is convenient for the seller but rarely realistic for buyers who cannot file an export declaration in the seller's country.

4. Named place / port — always required

Every Incoterm must be paired with a named place or port. 'FOB Shanghai' and 'CIF Hamburg' are well-formed; 'FOB' alone is ambiguous. For port-mode terms (FAS, FOB, CFR, CIF) the named location is always a port; for any-mode terms (EXW, FCA, CPT, CIP, DAP, DPU, DDP) the named place can be a port, an inland location, an address, or a defined facility.

BENCHMARK USE ONLY